

Some areas of the country have seen housing prices appreciate at considerably higher rates in the 1990s and through most of the 2000s. This priced many new home buyers out of the market and caused others to take on too much debt. It also created overdone speculation from some short-term home flippers who were buying with little to no money down. The steep housing correction that occurred from 2007 to 2009 put an end to the speculation. Falling prices plus tax credits for new home buyers plus low mortgage rates orchestrated by the Federal Reserve Bank have stabilized home prices, in most markets.

If possible, investors should consider both home ownership and commercial real estate investment opportunities as an integral part of their long-term investment plan. There is only a finite amount of land available for building, and resources for construction are limited. At the same time the population of the United States continues to increase. Those two facts should keep prices steady in most markets, and they should push prices higher over the long term in the markets where good jobs are being created.

COMMERCIAL REAL ESTATE INVESTMENT OPPORTUNITIES

Investments in commercial real estate can be acquired in three ways: direct investment in properties, indirect investment through limited partnerships (LPs), and indirect investment through publicly traded real estate investment trusts (REITs). Each approach has its advantages and disadvantages.

Direct investment gives an investor full control over the property, including management of rents, costs, and selling decisions.

A direct investment typically leads to the highest return because it eliminates most intermediaries by relying on direct participation by the owner. The disadvantage of direct ownership is that it requires hands-on property management skills and knowledge of the real estate market. While a direct investor could hire a management company to handle the properties, this reduces the total return. In addition to management costs, prolonged vacancies and abusive or deadbeat tenants can also reduce returns. Finally, when an investor wants to sell, a poor resale market could make the sale of properties difficult or less profitable.